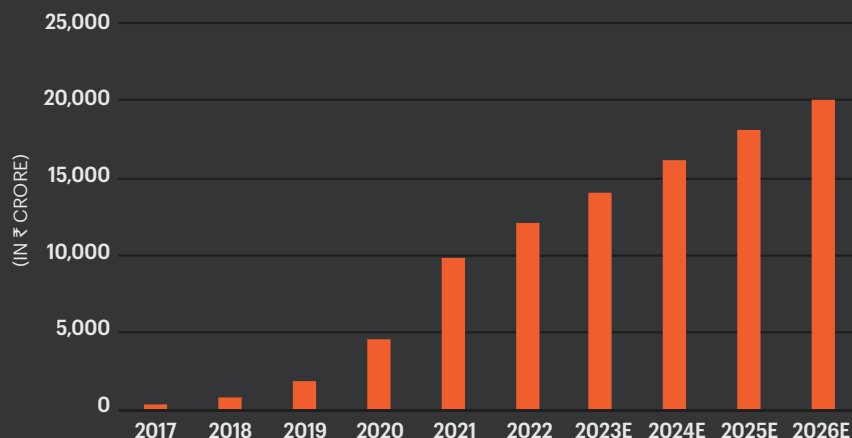


THE INDIAN OTT SUBSCRIPTION MARKET

The SVoD market in India is poised to grow, but a chunk of that revenue comes from telecom bundling

SOURCE PwC'S GLOBAL ENTERTAINMENT & MEDIA OUTLOOK 2022-2026

E: ESTIMATES; CURRENTLY, THE MARKET IS ESTIMATED TO HAVE A 60-40 SPLIT IN FAVOUR OF AVoD



INDIANS' LOVE AFFAIR WITH VIDEO CONTENT



Total consumption across the online video segment reached 6.1 trillion minutes or over 11 million years for the 15-month period from Jan 2022 to Mar 2023, per Media Partners Asia



It adds that the premium VoD category (including freemium and subscription VoD) had a 12 per cent share (versus 10 per cent in 2021), with YouTube remaining dominant with an 88 per cent share



From 45 million households paying for one or more SVoD services, the number will grow to 52 million by 2025, if current pricing is maintained, per FICCI-EY M&E Report 2023



It adds that if pricing is reduced to around ₹1 per day for a popular streaming service, or a strong bundle is created for up to ₹1,200 per year, the reach could cross 100 million households within three years

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GRAPHICS BY RAHUL SHARMA

the race. So, the next question is, can I sell soap and car on this," he says.

That is precisely the model that Amazon Prime Video runs, where its shopping benefits give it a huge edge over rivals. In fact, the platform says India has amongst the highest proportion of Prime members who stream Prime Video every month. Reliance Industries-backed JioCinema, meanwhile, has access to the over 400 million telecom subscribers of Reliance Jio. And Netflix, considered a niche platform with its 6 million-odd subscribers, is betting big on gamifying its popular original series such as *Narcos* and *Stranger Things*. "Those who don't have a content-plus edge will either combine or collapse," says Pherwani. "Right now, everyone is bleeding and everyone is simply investing. In five to six years, they will either get acquired, merge with each other (consolidate), or turn profitable. Any combination of content and distribution that has abundantly deep pockets or is skewed towards AVoD or eventually goes on to be a part of an e-commerce or telecom play

will be the killer," says Chrome's Krishna.

The sector is already seeing consolidation. SonyLIV and ZEE5's parent organisations Sony Pictures Networks India and Zee Entertainment Enterprises Ltd (ZEEL), respectively, are in the midst of a merger. Amazon Prime Video is also reportedly in talks to acquire MX Player.

As the players fight it out for Indian viewers' attention with pricing subsidies and jazzed up offerings, all the while trying to strike the right balance between AVoD, SVoD and TVoD, the party for the Indian consumer continues. But the likes of Kelkar yearn for the good old days of OTT. "What once felt like a revolutionary departure from traditional TV has gradually morphed into something familiar—ads are back and so is appointment viewing, with many shows like *Citadel* releasing new episodes periodically. Isn't that a threat to the freedom and flexibility of content viewing [offered by OTT platforms], despite paying for a handful of them?" **BT**

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